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The Maturing of a Development Bank

THE DUO OF MEHTA AND Parekh ushered in a new era in ICICI. ICICI could not have asked for a better partnership. By the time Parekh became the General Manager in 1958, he had earned the full support and confidence of not only the Board but also of ICICI's clients. Mehta relied very heavily, if not exclusively, on Parekh to initiate him into the nascent field of development banking. He acknowledged as much when he wrote to Eugene R. Black Sr: 'I find Parekh a first class man in every respect and I am glad he has been confirmed as General Manager…'[1] He spoke of Parekh's grounding in economics and experience on the Bombay Stock Exchange which spanned two decades. Mehta observed that Parekh not only had a feel for the market but was also conversant with the working of important joint-stock companies and with their financial condition and problems. But more importantly, Mehta noted that Parekh did not let the monetary aspect colour his judgement and evaluated financial problems in a wider economic context.

GAGANVIHARI AND HASMUKH

It was lucky for ICICI that things turned out the way they did because there was great chance for misunderstanding. Mehta and Parekh did not know each other and they were hardly equals in the public eye. Mehta enjoyed an excellent reputation as a journalist and as a businessman and was much respected in government circles. He was a former Member of the Planning Commission, a former Chairman of the Tariff Commission, and until mid-